

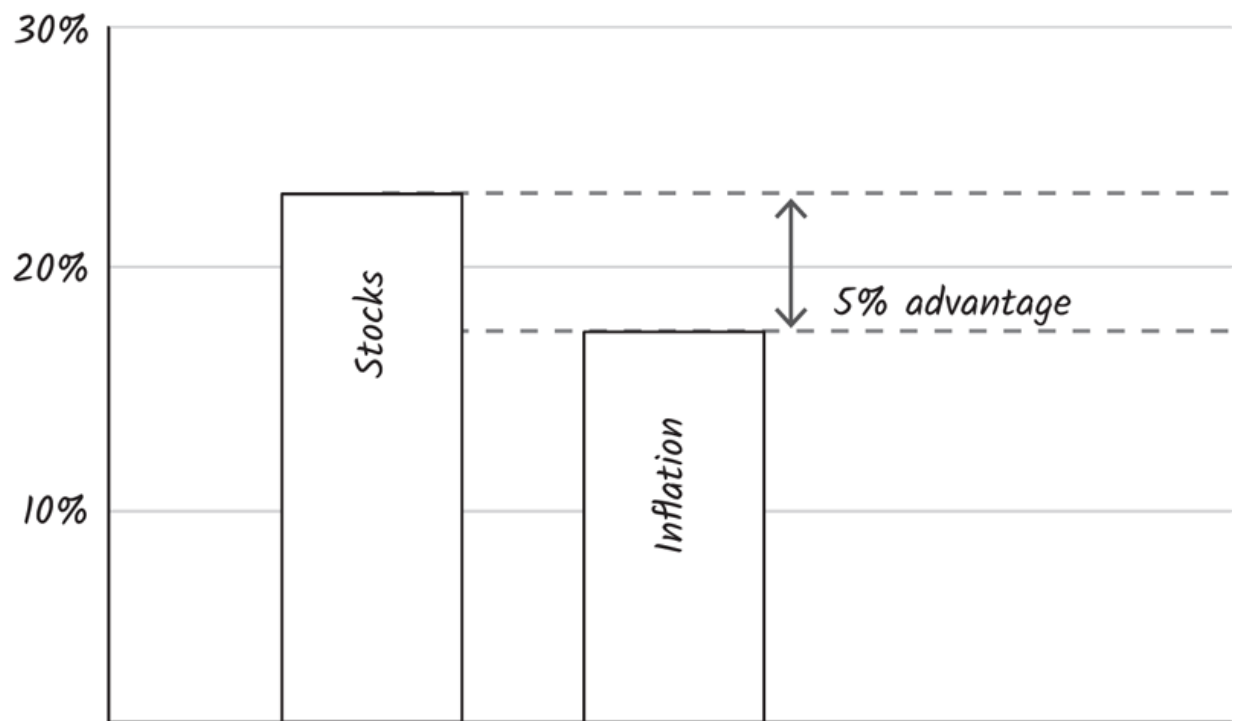


Figure 1.1: stock growth vs. inflation

By investing, you get to put your hard-earned money into something that helps outsmart inflation.

Take advantage of compounding interest

The story goes that there was a king who was shown a chessboard by an inventor. The king was so pleased by the chessboard he told the inventor he could have any reward he wanted.

The inventor pondered over this question, then responded with one simple request.

‘Give me one grain of rice for the first square of the chessboard, two grains for the next square, four for the next, eight for the next and so on for all 64 squares, with each square having double the number of grains as the square before.’

The king was baffled — what was this inventor going to do with some grains of rice? He happily obliged, thinking he was getting a bargain.